

July 23, 2026 10:01 AM GMT

IBM | North America

2Q26 Earnings – Transitory or Prolonged Spending Reprioritization?

WHAT'S CHANGED

IBM (IBM.N)	From	To
Price Target	\$293.00	\$190.00

AlphaSignals Earnings Reaction

Unchanged	↓ Modest shortfall	— Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

The 2H recovery case is plausible, supported by early deal recapture and stronger productivity, but guidance leaves little room for error and requires a sharp Z rebound. 3Q print/4Q guide should clarify whether 2Q was transitory or a broader reprioritization trend. PT moves lower to \$190. Remain EW.

Key Takeaways

- 2H recovery is now the key debate: slipped deals are closing, but guidance leaves little room for incremental conversion pressure or capex deferrals.
- Mgmt says 2Q weakness was transitory, with ~1/3 of delayed ELAs already closed in 3Q, supporting mgmt confidence in a 2H recovery.
- Productivity remains the cushion; cost actions offset revenue pressure, supported margin expansion, and drove a higher FY26 PTI margin outlook (now +100bps Y/Y).
- Infra guidance requires a sharp 2H rebound, including meaningful Z improvement. Distributed Infra strength alone is unlikely to bridge the gap.
- We mark our PT to \$190 (from \$293), based on 11.6x CY26 FCF/share of \$16.43 (vs. prior \$16.55). Remain EW.

Mgmt is banking on a 2H recovery – will it materialize? We believe this is the key debate that will influence Wall Street's assumptions on earnings power, organic growth, and ultimately – valuation – over the next 6 months. The bull take on this debate was presented by mgmt – IBM has already recouped ⅓ of the pushed deals from 2Q, subscription-based spending is strong, recent acquisitions (HCP/CFLT) are accelerating, Consulting is slowly on the path to recovery, and mainframe will remain core to the IBM customer base and, thus, drive the software flywheel in 2H. This scenario is plausible, but IBM didn't leave much room for error – we estimate the 2H "base case" guide embeds a meaningful Software and z17 recovery that

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IBM (IBM.N, IBM UN)

IT Hardware | United States of America

Stock Rating	Equal-weight
Industry View	Cautious
Price target	\$190.00
Shr price, close (Jul 22, 2026)	\$205.77
Mkt cap, curr (mm)	\$196,227
52-Week Range	\$332.41-204.50

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (\$)\$	11.35	12.18	13.04	14.26
P/E	25.6	16.8	15.8	14.6
Div yld (%)	2.3	3.3	3.3	3.3
EPS (\$)**	11.58	12.25	13.04	14.13
Prior EPS (\$)**	-	12.42	13.14	14.66

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

\$ = Consensus data is provided by Refinitiv Estimates

** = Based on consensus methodology

e = Morgan Stanley Research estimates

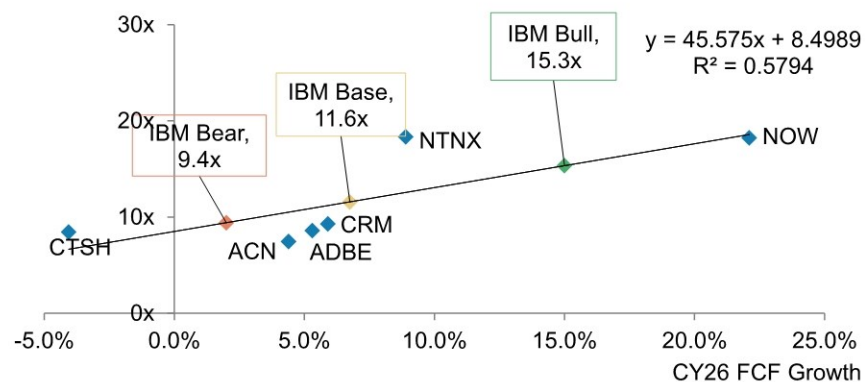
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requires sequential revenue dollar growth strength not seen in over 3 years, even as management acknowledges the capex deferral environment and below-normal pipeline yields are assumed to persist in this case. While on the downside, if large deal conversion rates remain pressured and customers further redirect budgets toward servers, storage, and memory purchases, the combination of transactional deferrals and a delayed Z recovery would likely put both the revenue range and full-year earnings power at risk. The 3Q print/4Q guide should serve as the next proof point to help clarify this debate, as well as the broader debate of how mission-critical IBM legacy and emerging products and solutions are during this phase of the AI investment cycle. Post earnings, we mark our PT to market using a regression-based valuation with software and consulting peers, and our PT moves lower to \$190 (from \$293), or 11.6x our CY26 FCF/share of \$16.43 (lower vs. prior \$16.55).

Exhibit 1: Our base case of 11.6x P/FCF reflects a regression of software and services peers, and leads to our PT of \$190

P/FCFe 2026 vs. FCF Growth



Source: FactSet, Company data, Morgan Stanley Research estimates

What we learned from IBM's 2Q26 earnings conference call and IR callback:

(?) Why management believes the 2Q shortfall is transitory vs. the risk to this view. Management's core argument on deal slippage being a transitory issue resides in the details, which was that a low-double-digit number of large capex ELA deals at large clients were redirected in the final weeks of June toward servers, storage, and memory purchases ahead of expected supply-constrained price increases, rather than being a loss of demand or a structural shift away from IBM's platform. The key proof point is that roughly 1/3rd of those slipped deals had already closed within the first three weeks of 3Q, well ahead of the typical two-thirds to three-fourths closure rate management would expect over six months. And IBM's "base case" Software guidance of 6% Y/Y in CY26 assumes the capex-deferral environment continues into 2H, with pipeline yields assumed to remain below historical norms.

That said, the risk to this argument, and guidance, is clear. First, IBM is guiding to relative strength in Servers/Storage persisting in 2H, but also a recovery in Z and parts of software – if the drivers of 2H Distributed Infra strength are the same as 2Q, it's counter-intuitive (to us) to expect the transactional parts of Software/Z that were weak in 2Q to then recover in 2H. Second, in modeling 6% Y/Y CC Software growth for CY26 – which is IBM's base case and embeds further capex deferrals – we still estimate it implies stronger Q/Q dollar revenue growth for Software in

3Q/4Q than any period in the last 5+ years.

(+) Cost savings/efficiencies continue to surprise to the upside. Despite the revenue shortfall (\$17.2B came in \$1B below MSe of \$18.2B) and a gross margin decline of 70 bps Y/Y in the quarter, productivity actions came in ahead of plan, providing enough flexibility to absorb CFLT-related dilution, continue investing for growth, and still expand PTI margins by 30bps Y/Y. Notably, Consulting profit margins expanded 160 bps, and 110 basis points in Software, driven by ongoing productivity actions, despite topline challenges. For FY26, management now expects 100 basis points of operating PTI margin expansion, with productivity more than offsetting revenue-related headwinds. We learned that the savings were both a proactive bias and a reactive response to the quarter, with multiple buckets still in early innings: third-party spend reduction, AI-driven software development efficiency, G&A efficiencies, sales and marketing optimization, supply-chain optimization, and enhanced services delivery. Importantly, no incremental workforce rebalancing charges are assumed.

(?) A 2Q Infra miss but CY26 Infra raise – what's happening under the hood? We already knew from last week's pre-announcement that Infra revenue would fall short of expectations due to mainframe deferrals more than offsetting strength in Servers and Storage. What surprised us this quarter is that on the back of this 2Q miss, IBM *raised* its Infrastructure revenue guidance for the year – from LSD% Y/Y declines, to LSD% Y/Y growth. We'd note that reaching guidance of +LSD % Infra revenue growth for CY26 requires 2H26 infrastructure revenue to ramp meaningfully, implying the highest Q/Q dollar growth the segment has seen in at least 3 years, even higher than 2H25, after the z17 was just launched. While Distributed Infrastructure's record \$500M+ backlog and 37% 2Q growth are impressive, we don't believe Distributed Infra alone can bridge that gap, as the implied 2H ramp can only realistically work if Z17 has a meaningful recovery in both 3Q and 4Q, in our view.

Risk Reward – IBM (IBM.N)

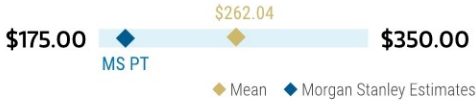
Equal-Weight Rating Balances All-Time High Valuation With Quantum Optionality

PRICE TARGET \$190.00

Our \$190 price target reflects a 11.6x P/FCF 2026 multiple of \$16.43 FCF/share, and implies IBM trades in-line with software and consulting peers on a growth adjusted basis.

Consensus Price Target Distribution

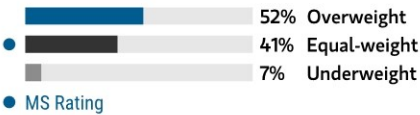
Source: Refinitiv, Morgan Stanley Research



EQUAL-WEIGHT THESIS

IBM has gained credit for driving more consistent performance in recent years and shifting its portfolio to more recurring Software and Services. The acquisition of HashiCorp combined with a mainframe/ELA cycle is resulting in growth accelerating in 2025, but also creates risk of a deceleration in 2026. This risk, among others, is what supports our \$190 price target. Yet, the market is clearly also focused on Quantum, and given the re-rating we have seen from pure-play quantum stocks, IBM's early Quantum leadership has upside optionality. Balancing these facts is what drives our EW-rating, with mis-execution the key bear case risk.

Consensus Rating Distribution



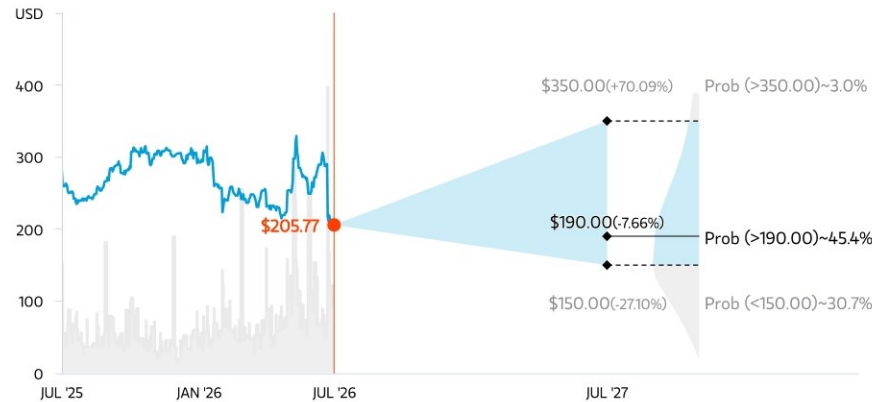
Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: Positive
Pricing Power: Positive
Technology Diffusion: Positive

View descriptions of Risk Rewards Themes [here](#)

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 22 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE \$350.00

20.3x P/FCFe of CY26 \$17.25/share (ex-receivables)

IBM Quantum becomes more material to the model. General consensus is that IBM has a seat at the gen-AI and Quantum table, and customer wins/revenue outpaces expectations. IBM accelerates Consulting & Software growth, as competitive positioning improves on the core business. Additionally, quantum adds \$180B in Enterprise Value on top of our base case valuation, and as a result, shares re-rate to 20.3x P/FCFe 2026 on \$17.25/share.

BASE CASE \$190.00

11.6x P/FCFe of CY26 \$16.43/share (ex-receivables)

Stable fundamentals drives 4% Y/Y revenue growth at CC and 7% Y/Y FCF growth in CY26. Consulting grows 1.3% Y/Y at CC due to green shoots in IT services and easy comps, Software grows 6.1% Y/Y at CC due to extended ELA cycle renewal in 2026, Infrastructure increases 1.8% Y/Y at CC. AI Consulting bookings gradually become additive to Consulting revenue growth. We forecast 4% Y/Y revenue growth at CC. We value IBM at 11.6x P/FCF 2026 of \$16.43/shr.

BEAR CASE \$150.00

9.4x P/FCFe of CY26 \$15.94/share (ex-receivables)

Tough macro environment leads to budget cuts, and IBM FCF grows 4% Y/Y CC in CY26. RHT growth slows due to share loss, and acquisitions in Software fail to increase portfolio relevancy, driving core growth to decelerate faster than expected. ELA cycle in 2026 also fails to materialize. IT Services spend does not rebound due to mis-execution, causing Consulting revenue to decline. Spend on mainframe is significantly cut due to irrelevancy of new mainframe launch to enterprises.

Risk Reward – IBM (IBM.N)

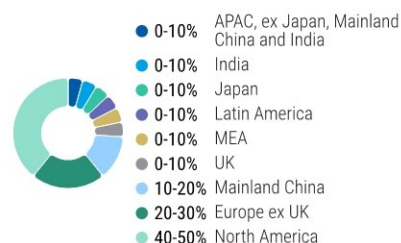
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Constant Currency Revenue Growth (Y/Y) (%)	6.1	3.8	3.7	6.0
Software CC Revenue Growth (Y/Y) (%)	9.1	6.1	7.5	0.0
PTI Margins (Y/Y) (%)	18.823	19.827	20.537	0.000
FCF Growth (Y/Y) (%)	15.6	6.7	5.6	8.1

INVESTMENT DRIVERS

- (+) Sustained/multi-year topline growth
- (+) Strategic divestitures and/or acquisitions
- (+) Positive FCF surprises
- (-) Decelerating SW/Consulting growth below medium-term model
- (-) Margins pressure earnings and FCF

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	1/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Strength in Gen AI adds incremental growth to SW and Consulting
- Consulting growth surprises positively
- Incremental M&A accelerates growth
- IBM upsides on FCF
- Demonstrated commercial success in Quantum

RISKS TO DOWNSIDE

- Macro disruption leads to deal elongation
- Accelerated cannibalization of on-prem software
- AI cannibalizes/disrupts core Consulting
- Organic SW growth undergrows 7% target
- Lack of M&A contribution

OWNERSHIP POSITIONING

Inst. Owners, % Active	41.1%	
HF Sector Long/Short Ratio	2.1x	
HF Sector Net Exposure	29.5%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Earnings Variance

Exhibit 2: IBM 2Q26 Earnings Variance

IBM Variance Analysis

Ticker: IBM

Industry View: Cautious

Rating: Equal Weight

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C3Q26 & CY26 Expectations

Consensus (pre-call): C3Q26 revenue of \$16.9B and non-GAAP EPS of \$2.87; CY26 revenue of \$70.7B and non-GAAP EPS of \$12.15

Morgan Stanley est (pre-call): C3Q26 revenue of \$17.5B and non-GAAP EPS of \$2.82; CY26 revenue of \$72.3B and non-GAAP EPS of \$12.42

Management Commentary: FY26 revenue growth of 4-5% Y/Y (lower vs. prior 5%+); FX a ~0 point revenue tailwind (lower vs. prior 0.5 to 1 point tailwind); FCF ex-financing receivables to increase by about \$1B Y/Y (unchanged); non-

GAAP PTI margin to expand 100bps Y/Y (higher vs. prior 75bps).

IBM: Morgan Stanley Expectations										
(\$ In Millions)	3Q24A	4Q24A	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	2Q26E	
Revenue	14,969	17,555	14,541	16,977	16,331	19,685	15,918	17,161	18,147	% Delta
Y/Y Growth, Reported	1.5%	1.0%	0.5%	7.7%	9.1%	12.1%	9.5%	1.1%	6.9%	Share Impact
Q/Q Growth, Reported	-5.1%	17.3%	-17.2%	16.8%	-3.8%	20.5%	-19.1%	7.8%	14.0%	Q/Q Chg
Non-GAAP EPS	\$2.30	\$3.92	\$1.60	\$2.80	\$2.65	\$4.52	\$1.91	\$2.92	\$3.08	Y/Y Chg
Y/Y Growth, Reported	4.4%	1.2%	-4.2%	14.9%	15.5%	15.5%	19.2%	4.5%	10.0%	Cons. Est.
Q/Q Growth, Reported	-5.7%	70.5%	-59.0%	74.3%	-5.1%	70.5%	-57.7%	52.7%	60.9%	
Gross Profit	8,612	10,630	8,232	10,202	9,591	12,159	9,187	10,194	11,024	
Gross Margin (%)	57.5%	60.6%	56.6%	60.1%	58.7%	61.8%	57.7%	59.4%	60.7%	
SG&A	4,611	4,561	4,533	4,679	4,394	5,100	4,682	4,560	4,963	
% of Revenue	30.8%	26.0%	31.2%	27.6%	26.9%	25.9%	29.4%	26.6%	27.4%	
R&D	1,876	1,967	1,946	2,097	2,082	2,187	2,173	2,311	2,432	
% of Revenue	12.5%	11.2%	13.4%	12.4%	12.7%	11.1%	13.7%	13.5%	13.4%	
IP Income	238	301	253	215	219	277	172	166	272	
% of Revenue	1.6%	1.7%	1.7%	1.3%	1.3%	1.4%	1.1%	1.0%	1.5%	
Operating Income	2,363	4,403	2,006	3,641	3,334	5,149	2,504	3,489	3,902	
Operating Margin (%)	15.8%	25.1%	13.8%	21.4%	20.4%	26.2%	15.7%	20.3%	21.5%	
Pre-Tax Income	2,487	4,271	1,738	3,196	3,033	4,745	2,129	3,283	3,492	
PTI Margin (%)	16.6%	24.3%	12.0%	18.8%	18.6%	24.1%	13.4%	19.1%	19.2%	
Net Income	2,155	3,690	1,517	2,651	2,517	4,307	1,821	2,785	2,934	
Net Income Margin (%)	14.4%	21.0%	10.4%	15.6%	15.4%	21.9%	11.4%	16.2%	16.2%	
Tax Rate	13.3%	13.6%	12.7%	17.1%	17.0%	9.2%	14.5%	15.2%	16.0%	
Shares Out.	938	942	945	948	949	952	952	953	953	
Segment Revenues	3Q24A	4Q24A	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	2Q26E	Q/Q
Software	\$6,524	\$7,924	\$6,335	\$7,387	\$7,209	\$9,031	\$7,052	\$7,761	\$8,294	Y/Y
Y/Y Growth, Reported	9.7%	10.4%	7.4%	9.6%	10.5%	14.0%	11.3%	5.1%	12.3%	
Y/Y Growth @ CC, Reported	9.6%	11.5%	9.0%	7.6%	8.8%	10.7%	7.9%	4.6%	11.2%	
Consulting	\$5,153	\$5,175	\$5,068	\$5,315	\$5,324	\$5,348	\$5,272	\$5,327	\$5,436	
Y/Y Growth, Reported	-0.5%	-2.0%	-2.3%	2.6%	3.3%	3.3%	4.0%	0.2%	2.3%	
Y/Y Growth @ CC, Reported	-0.2%	-1.1%	-0.5%	-0.3%	1.5%	1.0%	0.9%	1.1%	1.2%	
Infrastructure	\$3,042	\$4,257	\$2,886	\$4,141	\$3,559	\$5,132	\$3,326	\$3,835	\$4,211	
Y/Y Growth, Reported	-7.0%	-7.5%	-6.2%	13.6%	17.0%	20.6%	15.2%	-7.4%	1.7%	
Y/Y Growth @ CC, Reported	-6.7%	-6.0%	-4.3%	11.5%	15.1%	16.6%	11.7%	-7.4%	0.6%	
Financing	\$181	\$170	\$191	\$166	\$200	\$179	\$220	\$186	\$168	
Y/Y Growth	-2.7%	-2.6%	-1.0%	-1.8%	10.5%	5.3%	15.2%	12.0%	1.0%	
Segment Gross Margins	3Q24A	4Q24A	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	2Q26E	Q/Q
Software	\$5,428	\$6,735	\$5,296	\$6,198	\$5,991	\$7,532	\$5,839	\$6,411	\$6,934	Y/Y
Gross Margin (%)	83.2%	85.0%	83.6%	83.9%	83.1%	83.4%	82.8%	82.6%	83.6%	
Consulting	\$1,463	\$1,449	\$1,384	\$1,462	\$1,560	\$1,519	\$1,450	\$1,540	\$1,500	
Gross Margin (%)	28.4%	28.0%	27.3%	27.5%	29.3%	28.4%	27.5%	28.9%	27.6%	
Infrastructure	\$1,673	\$2,422	\$1,524	\$2,547	\$2,036	\$3,110	\$1,892	\$2,240	\$2,586	
Gross Margin (%)	55.0%	56.9%	52.8%	61.5%	57.2%	60.6%	56.9%	58.4%	61.4%	
Global Financing	\$85	\$80	\$87	\$76	\$91	\$79	\$95	\$79	\$75	
Gross Margin (%)	47.2%	46.9%	45.8%	45.7%	45.6%	44.1%	43.4%	42.5%	44.7%	
Balance Sheet and Cash Flow Items	3Q24A	4Q24A	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	2Q26E	Q/Q
Inventory Turns	76	82	75	87	79	91	75	113	143	Y/Y
Days Sales	33	35	37	32	31	38	37	32	36	
Days Payable	47	53	52	54	52	58	55	58	50	
Days Inventory	20	17	21	17	19	15	20	23	18	
Cash Conversion	5	(1)	6	(5)	(3)	(5)	2	(3)	4	
ROE	35.9%	60.4%	22.2%	39.4%	36.6%	61.7%	22.3%	33.8%	35.6%	
ROA	1.6%	2.7%	1.0%	1.8%	1.7%	2.8%	1.2%	1.8%	1.9%	
CFO	\$2,882	\$4,330	\$4,370	\$1,702	\$3,081	\$4,041	\$5,169	\$2,597	\$4,445	
Capex	(\$55)	\$423	\$321	\$336	\$410	\$550	\$383	\$360	\$375	
FCF	\$2,937	\$3,907	\$4,049	\$1,366	\$2,671	\$3,491	\$4,786	\$2,237	\$4,070	
FCF Ex-Financing Receivables	\$2,064	\$6,162	\$1,962	\$2,847	\$2,372	\$7,555	\$2,221	\$2,538	\$2,729	
Cash Balance	\$13,702	\$14,591	\$17,465	\$15,448	\$14,856	\$14,417	\$11,783	\$8,132	\$11,207	
Cash Per Share	\$14.60	\$15.48	\$18.47	\$16.30	\$15.66	\$15.14	\$12.38	\$8.53	\$11.75	
Depreciation	\$1,268	\$1,113	\$1,177	\$1,265	\$1,283	\$1,296	\$1,274	\$1,349	\$1,429	
Deferred Income	\$16,548	\$17,529	\$18,901	\$18,935	\$17,741	\$20,372	\$21,229	\$20,432	\$20,967	
Deferred Income Y/Y	10%	3%	8%	11%	7%	16%	12%	8%	11%	
Consulting KPIs	3Q24A	4Q24A	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	2Q26E	
Consulting Signings	\$5.4	\$8.5	\$4.9	\$4.8	\$5.2	\$6.8	\$5.4	\$5.4	\$5.0	
Y/Y Growth	-6.9%	28.8%	-10.9%	-15.8%	-3.7%	-20.0%	10.2%	4.2%		
Consulting Book to Bill	1.1x	1.2x	1.2x	1.1x	1.1x	1.0x	1.1x	1.1x		
Y/Y Growth	-0.9%	5.2%	0.0%	-0.9%	-1.8%	-14.9%	-9.6%	-7.9%		

Source: Company data, FactSet, Morgan Stanley Research estimates

IBM Financial Model

Exhibit 3: Income Statement

(\$ in millions)	2025A				2026E				2027E				2024A	2025A	2026E	2027E	2028E
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27					
Revenues	14,541	16,977	16,331	19,685	15,918	17,161	16,784	20,278	16,535	17,603	17,186	20,715	62,756	67,534	70,141	72,039	75,640
Software	6,335	7,387	7,209	9,031	7,052	7,761	7,592	9,429	7,614	8,227	8,084	10,009	27,086	29,962	31,833	33,934	36,209
Consulting	5,068	5,315	5,324	5,348	5,272	5,327	5,318	5,399	5,449	5,538	5,441	5,527	20,693	21,055	21,316	21,955	22,540
Infrastructure	2,886	4,141	3,559	5,132	3,326	3,835	3,624	5,222	3,223	3,624	3,419	4,960	14,020	15,718	16,006	15,226	15,968
Financing	191	166	200	179	220	186	212	190	224	190	216	194	713	736	808	824	824
Other	61	(32)	39	(5)	48	52	39	39	25	25	25	25	244	63	178	100	100
Cost of Revenues	6,309	6,775	6,740	7,526	6,731	6,967	6,856	7,652	6,853	7,063	6,906	7,703	26,481	27,350	28,207	28,524	29,423
Software	1,039	1,189	1,218	1,499	1,213	1,350	1,275	1,471	1,294	1,415	1,342	1,541	4,428	4,946	5,310	5,593	5,913
Consulting	3,684	3,853	3,764	3,829	3,822	3,787	3,749	3,855	3,950	3,938	3,836	3,946	15,106	15,131	15,214	15,670	16,088
Infrastructure	1,362	1,594	1,523	2,022	1,434	1,595	1,605	2,109	1,405	1,526	1,532	2,029	6,198	6,502	6,744	6,491	6,648
Financing	104	90	109	100	125	107	117	108	128	110	121	111	372	403	457	470	474
Other	120	48	126	76	138	127	109	109	75	75	75	75	377	369	483	300	300
Gross Profit	8,232	10,202	9,591	12,159	9,187	10,194	9,928	12,626	9,682	10,540	10,280	13,013	36,275	40,184	41,935	43,515	46,217
Gross Margin	56.6%	60.1%	58.7%	61.8%	57.7%	59.4%	59.2%	62.3%	58.6%	59.9%	59.8%	62.8%	57.8%	59.5%	59.8%	60.4%	61.1%
Software	5,296	6,198	5,991	7,532	5,839	6,411	6,316	7,958	6,319	6,812	6,742	8,468	22,658	25,016	26,524	28,341	30,295
Consulting	1,384	1,462	1,560	1,519	1,450	1,540	1,569	1,544	1,498	1,601	1,605	1,581	5,587	5,924	6,102	6,285	6,452
Infrastructure	1,524	2,947	2,036	3,110	1,892	2,240	2,018	3,112	1,818	2,098	1,887	2,932	7,822	9,216	9,262	8,735	9,320
Financing	87	76	91	79	95	79	95	82	96	80	95	82	341	333	351	354	350
Other	(59)	(80)	(87)	(81)	(90)	(75)	(70)	(70)	(50)	(50)	(50)	(50)	(133)	(306)	(305)	(200)	(200)
Operating Expenses	6,226	6,561	6,257	7,010	6,683	6,705	6,395	6,996	6,796	6,883	6,548	7,375	25,012	26,054	26,779	27,601	29,008
SG&A	4,533	4,679	4,394	5,100	4,682	4,560	4,196	4,664	4,630	4,577	4,296	4,661	18,529	18,706	18,102	18,164	18,532
R&D	1,946	2,097	2,082	2,187	2,173	2,311	2,451	2,616	2,398	2,553	2,492	3,004	7,479	8,312	9,550	10,446	11,535
IP Income	253	215	219	277	172	166	252	284	231	246	241	290	996	964	874	1,009	1,059
Income from Operations (PTOP)	2,006	3,641	3,334	5,149	2,504	3,489	3,533	5,630	2,886	3,657	3,732	5,638	11,263	14,130	15,156	15,914	17,209
PTOP Margin	13.8%	21.4%	20.4%	26.2%	15.7%	20.3%	21.1%	27.8%	17.5%	20.8%	21.7%	27.2%	17.9%	20.9%	21.6%	22.1%	22.8%
Total Interest Income (Expense), Net	(268)	(445)	(301)	(404)	(375)	(206)	(354)	(314)	(308)	(295)	(276)	(240)	(55)	(1,418)	(1,249)	(1,119)	(1,012)
Interest Income	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Income	187	65	191	74	98	280	117	142	132	141	155	186	1,657	517	637	614	645
Interest Expense	455	510	492	478	473	486	471	456	440	436	431	426	1,712	1,935	1,886	1,733	1,657
Pre-tax Income	1,738	3,196	3,033	4,745	2,129	3,283	3,179	5,316	2,578	3,362	3,456	5,398	11,208	12,712	13,907	14,795	16,197
PTI Margin	12.0%	18.8%	18.6%	24.1%	13.4%	19.1%	18.9%	26.2%	15.6%	19.1%	20.1%	26.1%	17.9%	18.8%	19.8%	20.5%	21.4%
GAAP Income Tax Provision	103	404	686	(1,435)	172	313	458	811	326	444	458	749	(217)	(242)	1,754	1,976	2,072
Recurring Tax Provision	221	545	516	438	308	498	525	877	387	504	518	810	1,524	1,720	2,208	2,219	2,430
Effective Tax Rate	12.7%	17.1%	17.0%	9.2%	14.5%	15.2%	16.5%	16.5%	15.0%	15.0%	15.0%	15.0%	13.6%	13.5%	15.9%	15.0%	15.0%
Statutory Tax Rate	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%	21.0%
Operating Net Income	1,517	2,651	2,517	4,307	1,821	2,785	2,655	4,439	2,191	2,858	2,938	4,589	9,684	10,992	11,699	12,576	13,767
Operating Net Income Margin	10.4%	15.6%	15.4%	21.9%	11.4%	16.2%	15.8%	21.9%	13.3%	16.2%	17.1%	22.2%	15.4%	16.3%	16.7%	17.5%	18.2%
One-Time (Gains)/Charges, Net of Tax	462	459	773	(1,272)	606	627	339	339	345	345	345	345	3,669	422	1,912	1,379	2,026
Gross	580	600	603	601	742	812	406	406	406	406	406	406	5,410	2,384	2,365	1,622	2,384
Less: One-time Tax Impact	(118)	(141)	170	(1,873)	(136)	(185)	(66)	(66)	(61)	(61)	(61)	(61)	(1,741)	(1,962)	(454)	(243)	(358)
GAAP Net Income	1,055	2,192	1,744	5,759	1,215	2,158	2,315	4,100	1,847	2,513	2,593	4,244	6,015	10,570	9,788	11,197	11,741
After-tax Income from Discontinued Operations	1	1	-	21	-	(1)	-	-	-	-	-	-	9	23	(1)	-	-
Net Inc. after Discontinued Op. Reported	1,056	2,193	1,744	5,600	1,215	2,157	2,315	4,100	1,847	2,513	2,593	4,244	6,024	10,593	9,787	11,197	11,741
Fully-diluted EPS																	
EPS - ModelWare	\$1.60	\$2.80	\$2.65	\$4.52	\$1.91	\$2.92	\$2.78	\$4.64	\$2.28	\$2.97	\$3.05	\$4.74	\$10.32	\$11.58	\$12.25	\$13.04	\$14.13
EPS - Reported (Continuing Operations)	\$1.12	\$2.31	\$1.84	\$5.86	\$1.28	\$2.26	\$2.43	\$4.28	\$1.92	\$2.61	\$2.69	\$4.39	\$6.41	\$11.14	\$10.25	\$11.61	\$12.05
EPS - Reported (After Discontinued Ops)	\$1.12	\$2.31	\$1.84	\$5.88	\$1.28	\$2.26	\$2.43	\$4.28	\$1.92	\$2.61	\$2.69	\$4.39					
Dividend Payment	1,549	1,563	1,569	1,574	1,576	1,590	1,593	1,600	1,605	1,610	1,615	1,622	6,147	6,255	6,359	6,452	6,548
Dividend Per Share	\$1.67	\$1.68	\$1.68	\$1.68	\$1.68	\$1.69	\$1.69	\$1.69	\$1.69	\$1.70	\$1.70	\$1.70	\$6.67	\$6.71	\$6.75	\$6.78	\$6.81
Period Ending Outstanding Shares	929	932	935	937	940	941	944	947	949	950	953	956	926	937	947	956	966
Avg Shares (Basic)	928	931	934	937	939	941	942	945	948	949	952	955	922	932	942	951	961
Avg Shares (Fully Diluted)	945	948	949	952	952	953	954	957	960	962	964	967	938	949	955	964	974

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: Income Statement Analysis

(\$ in millions)	2025A				2026E				2027E								
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	2024A	2025A	2026E	2027E	2028E
Margin Analysis																	
Gross Margin	56.6%	60.1%	58.7%	61.8%	57.7%	59.4%	59.2%	62.3%	58.6%	59.9%	59.8%	62.8%	57.8%	59.5%	59.8%	60.4%	61.1%
Software	83.6%	83.9%	83.1%	83.4%	82.8%	82.6%	83.2%	84.4%	83.0%	82.8%	83.4%	84.6%	83.7%	83.5%	83.3%	83.5%	83.7%
Consulting	27.3%	27.5%	29.3%	28.4%	27.5%	28.9%	29.5%	28.6%	27.5%	28.9%	29.5%	28.6%	27.0%	28.1%	28.6%	28.6%	28.6%
Infrastructure	52.8%	61.5%	57.2%	60.6%	56.9%	58.4%	55.7%	59.6%	56.4%	57.9%	55.2%	59.1%	55.8%	58.6%	57.9%	57.4%	58.4%
Financing	45.8%	45.7%	45.6%	44.1%	43.4%	42.5%	44.6%	43.1%	42.9%	42.0%	44.1%	42.6%	47.9%	45.3%	43.4%	42.9%	42.4%
SG&A	31.2%	27.6%	26.9%	25.9%	29.4%	26.6%	25.0%	23.0%	28.0%	26.0%	25.0%	22.5%	29.5%	27.7%	25.8%	25.2%	24.5%
R&D	13.4%	12.4%	12.7%	11.1%	13.7%	13.5%	14.6%	12.9%	14.5%	14.5%	14.5%	14.5%	11.9%	12.3%	13.6%	14.5%	15.3%
IP Income	1.7%	1.3%	1.3%	1.4%	1.1%	1.0%	1.5%	1.4%	1.4%	1.4%	1.4%	1.4%	1.6%	1.4%	1.2%	1.4%	1.4%
Operating Expenses	42.8%	38.6%	38.3%	35.6%	42.0%	39.1%	38.1%	34.5%	41.1%	39.1%	38.1%	35.6%	39.9%	38.6%	38.2%	38.3%	38.4%
EBITDA Margin	21.9%	28.9%	28.3%	32.7%	23.7%	28.2%	29.9%	35.0%	26.0%	28.8%	30.0%	34.1%	25.4%	28.4%	29.6%	30.0%	28.9%
PTOP Margin	13.8%	21.4%	20.4%	26.2%	15.7%	20.3%	21.1%	27.8%	17.5%	20.8%	21.7%	27.2%	17.9%	20.9%	21.6%	22.1%	22.8%
Pretax Margin	12.0%	18.8%	18.6%	24.1%	13.4%	19.1%	18.9%	26.2%	15.6%	19.1%	20.1%	26.1%	17.9%	18.8%	19.8%	20.5%	21.4%
Net Income	10.4%	15.6%	15.4%	21.9%	11.4%	16.2%	15.8%	21.9%	13.3%	16.2%	17.1%	22.2%	15.4%	16.3%	16.7%	17.5%	18.2%
Y/Y Growth (%)																	
Reported Revenue	0.5%	7.7%	9.1%	12.1%	9.5%	1.1%	2.8%	3.0%	3.9%	2.6%	2.4%	2.2%	1.4%	7.6%	3.9%	2.7%	5.0%
Software	7.4%	9.6%	10.5%	14.0%	11.3%	5.1%	5.3%	4.4%	8.0%	6.0%	6.5%	6.2%	8.3%	10.6%	6.2%	6.6%	6.7%
Consulting	-2.3%	2.6%	3.3%	3.3%	4.0%	0.2%	-0.1%	1.0%	3.3%	4.0%	2.3%	2.4%	-0.9%	1.7%	1.2%	3.0%	2.7%
Infrastructure	-6.2%	13.6%	17.0%	20.6%	15.2%	-7.4%	1.8%	1.7%	-3.1%	-5.5%	-5.6%	-5.0%	-3.9%	12.1%	1.8%	-4.9%	4.9%
Financing	-1.0%	-1.8%	10.5%	5.3%	15.2%	12.0%	6.0%	6.0%	2.0%	2.0%	2.0%	2.0%	-3.9%	3.2%	9.7%	2.0%	0.0%
Gross Margin Expansion	3.5%	3.9%	2.1%	2.0%	1.9%	-1.1%	0.7%	0.8%	1.5%	0.8%	1.1%	0.9%	2.4%	2.9%	0.5%	1.0%	1.2%
Software	1.2%	0.3%	-0.1%	-1.8%	-0.8%	-1.3%	0.1%	1.0%	0.2%	0.2%	0.2%	0.2%	1.0%	-0.2%	-0.2%	0.2%	0.2%
Consulting	2.0%	1.2%	0.9%	0.4%	0.2%	1.4%	0.2%	0.2%	0.0%	0.0%	0.0%	0.0%	0.9%	4.2%	1.7%	0.0%	0.0%
Infrastructure	-1.4%	5.0%	2.2%	3.7%	4.1%	-3.1%	-1.5%	-1.0%	-0.5%	-0.5%	-0.5%	-0.5%	-0.6%	5.1%	-1.3%	-0.9%	1.7%
Financing	-2.7%	-3.2%	-1.6%	-2.8%	-2.4%	-3.2%	-1.0%	-1.0%	-0.5%	-0.5%	-0.5%	-0.5%	-0.6%	-5.4%	-4.1%	-1.2%	-1.2%
SG&A	-4.2%	-6.6%	-12.7%	-0.3%	-5.6%	-3.6%	-7.1%	-11.2%	-4.8%	-2.2%	0.0%	-2.2%	3.2%	1.0%	-3.2%	0.3%	2.0%
R&D	7.8%	5.9%	1.7%	-0.8%	2.0%	9.0%	14.5%	16.1%	6.2%	7.7%	-0.7%	12.4%	10.4%	11.1%	14.9%	9.4%	10.4%
IP Income	16.5%	-17.1%	-15.7%	-17.9%	-37.9%	-23.6%	11.9%	-0.5%	29.6%	44.7%	-6.7%	0.0%	15.8%	-3.2%	-9.4%	15.4%	5.0%
Operating Expenses	-1.5%	-2.5%	-8.2%	0.4%	-1.9%	1.1%	-0.6%	-3.1%	-2.1%	0.1%	0.0%	3.2%	4.7%	4.2%	2.8%	3.1%	5.1%
PTOP Margin	23.3%	26.9%	41.1%	16.9%	24.8%	-4.2%	6.0%	9.3%	15.3%	4.8%	5.6%	0.1%	1.9%	25.5%	7.3%	5.0%	8.1%
Pretax Margin	4.8%	14.5%	22.0%	11.1%	22.5%	2.7%	4.8%	12.0%	21.1%	2.4%	8.7%	1.6%	8.7%	13.4%	9.4%	6.4%	9.5%
Net Income	-3.0%	16.5%	16.8%	16.7%	20.0%	5.1%	5.5%	3.1%	20.3%	2.6%	10.7%	3.4%	9.2%	13.5%	6.4%	7.5%	9.5%
ModelWare EPS	-4.2%	14.9%	15.5%	15.5%	19.2%	4.5%	4.9%	2.5%	19.4%	1.7%	9.5%	2.3%	7.3%	12.2%	5.8%	6.4%	8.4%
Q/Q Growth (%)																	
Reported Revenue	-17.2%	16.8%	-3.8%	20.5%	-19.1%	7.8%	-2.2%	20.8%	-18.5%	6.5%	-2.4%	20.5%					
Software	-20.1%	16.6%	-2.4%	25.3%	-21.9%	10.1%	-2.2%	24.2%	-19.2%	8.1%	-1.7%	23.8%					
Consulting	-2.1%	4.9%	0.2%	0.5%	-1.4%	1.0%	-0.2%	1.5%	0.9%	1.6%	-1.7%	1.6%					
Infrastructure	-32.2%	43.5%	-14.1%	44.2%	-35.2%	15.3%	-5.5%	44.1%	-38.3%	12.4%	-5.7%	45.1%					
Financing	12.4%	-13.1%	20.5%	-10.5%	22.9%	-15.5%	14.0%	-10.5%	18.3%	-15.5%	14.0%	-10.5%					
Gross Margin Expansion	-3.9%	3.5%	-1.4%	3.0%	-4.1%	1.7%	-0.3%	3.1%	-3.7%	1.3%	-0.1%	3.0%					
Software	-1.4%	0.3%	-0.8%	0.3%	-0.6%	-0.2%	0.6%	1.2%	-1.4%	-0.2%	0.6%	1.2%					
Consulting	-0.7%	0.2%	1.8%	0.9%	-0.9%	1.4%	0.6%	-0.9%	-1.1%	1.4%	0.6%	-0.9%					
Infrastructure	-4.1%	8.7%	-4.3%	3.4%	-3.7%	1.5%	-2.7%	3.9%	-3.2%	1.5%	-2.7%	3.9%					
Financing	-1.1%	-0.1%	-0.1%	-1.5%	-0.7%	-0.9%	2.1%	-1.5%	-0.2%	-0.9%	2.1%	-1.5%					
SG&A	20.0%	-11.6%	-2.4%	-3.7%	13.5%	-9.7%	-5.9%	-8.0%	21.7%	-7.1%	-3.8%	-10.0%					
R&D	19.4%	-7.7%	3.2%	-12.9%	22.9%	-1.4%	8.4%	-11.6%	12.4%	0.0%	0.0%	0.0%					
IP Income	1.5%	-27.2%	5.9%	4.9%	-23.2%	-10.5%	55.1%	-6.7%	0.0%	0.0%	0.0%	0.0%					
Operating Expenses	20.7%	-9.7%	-0.9%	-7.1%	17.9%	-6.9%	-2.5%	-9.4%	19.1%	-4.9%	-2.6%	-6.6%					
PTOP Margin	-54.4%	81.5%	-8.4%	54.4%	-51.4%	39.3%	1.3%	59.3%	-48.7%	26.7%	2.1%	51.1%					
Pretax Margin	-59.3%	83.9%	-5.1%	56.4%	-55.1%	54.2%	-3.2%	67.2%	-51.5%	30.4%	2.8%	56.2%					
Net Income	-58.9%	74.8%	-5.1%	71.1%	-57.7%	52.9%	-4.7%	67.2%	-50.6%	30.4%	2.8%	56.2%					
ModelWare EPS	-59.0%	74.3%	-5.1%	70.5%	-57.7%	52.7%	-4.8%	66.7%	-50.8%	30.2%	2.5%	55.7%					

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: Balance Sheet

(\$ in millions)	2025A				2026E				2027E				2024A	2025A	2026E	2027E	2028E
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27					
Assets																	
Current Assets:																	
Cash and cash equivalents	11,035	11,944	11,570	13,587	10,819	7,172	7,583	11,857	12,325	11,414	9,829	15,326	13,947	13,587	11,857	15,326	20,508
Restricted cash	126	83	30	54	45	45	45	45	45	45	45	45	213	54	45	45	45
Marketable securities	6,430	3,504	3,286	830	964	960	960	960	960	960	960	960	644	830	960	960	960
Total Receivables	12,470	13,493	12,607	17,639	14,245	14,048	13,104	17,330	13,792	14,420	12,241	16,996	14,910	17,639	17,330	16,996	16,967
Total Inventories LCM	1,431	1,251	1,397	1,220	1,476	1,746	1,503	1,240	1,352	1,393	1,514	1,249	1,289	1,220	1,240	1,249	1,288
Other current assets	3,844	3,978	3,850	3,614	4,366	4,426	4,426	4,426	4,426	4,426	4,426	4,426	3,479	3,614	4,426	4,426	4,426
Total Current Assets	35,336	34,253	32,740	36,944	31,915	28,397	27,621	35,859	32,900	32,658	29,015	39,002	34,482	36,944	35,859	39,002	44,194
Property, plant and equipment, net	5,742	5,943	5,851	5,899	5,780	5,736	5,403	5,402	5,434	5,482	5,514	5,602	5,732	5,899	5,402	5,602	6,150
Long-Term Financing Receivables	4,920	6,171	6,258	7,708	7,014	7,126	6,383	6,937	7,084	7,269	6,575	6,937	5,353	7,708	6,937	6,937	7,215
Prepaid Pension Assets	7,670	7,983	8,044	7,544	7,578	7,645	7,645	7,645	7,645	7,645	7,645	7,645	7,492	7,544	7,645	7,645	7,645
Goodwill	66,065	67,506	67,396	67,717	74,709	74,599	74,767	74,817	75,452	76,087	76,722	77,358	60,706	67,717	74,817	77,358	79,899
Deferred Tax Assets & Costs	8,363	9,270	9,273	8,610	8,552	8,709	9,530	8,869	8,883	8,934	9,758	9,061	7,766	8,610	8,869	9,061	9,514
Capitalized Software, net	838	885	847	964	963	919	972	997	1,003	1,019	1,029	1,071	790	964	997	1,071	1,180
Intangible Assets, net	11,554	11,368	10,882	10,427	13,661	13,036	12,407	11,801	11,526	11,258	10,997	10,743	9,870	10,427	11,801	10,743	9,972
Investments and Operating right-of-use assets	5,179	5,206	5,021	6,067	6,059	5,932	5,956	5,980	6,286	6,592	6,898	7,205	4,984	6,067	5,980	7,205	8,429
Total Assets	145,667	148,585	146,312	151,880	156,231	152,099	150,685	158,307	156,213	156,942	154,153	164,622	137,175	151,880	158,307	164,622	174,017
Liabilities																	
Current Liabilities:																	
Total Short-Term Debt	6,913	8,945	7,942	6,424	8,655	5,775	5,605	6,379	5,826	5,857	5,686	5,935	5,089	6,424	6,379	5,935	5,912
Taxes	1,573	1,681	1,663	2,347	2,053	2,023	1,544	2,596	2,272	2,419	1,719	2,652	2,033	2,347	2,596	2,652	2,784
Accounts Payable and Accruals	3,585	3,974	3,867	4,756	4,039	4,395	4,133	4,752	3,905	4,025	3,860	4,643	4,032	4,756	4,752	4,643	4,789
Compensation and Benefits	3,653	3,353	3,508	4,114	3,941	3,364	3,457	4,181	3,331	3,673	3,396	3,977	3,605	4,114	4,181	3,977	4,141
Short Term Deferred Income	15,057	15,022	13,878	16,101	17,034	16,160	15,244	15,840	17,359	16,289	14,875	16,415	13,907	16,101	15,840	16,415	18,104
Other Accrued Expenses and Liabilities	4,324	4,752	4,284	4,915	4,380	4,195	5,401	5,196	4,664	4,769	4,602	5,164	4,477	4,915	5,196	5,164	5,377
Total Current Liabilities	35,105	37,726	35,142	38,657	40,102	35,912	35,384	38,944	37,358	37,032	34,137	38,785	33,143	38,657	38,944	38,785	41,107
Long Term Liabilities																	
Total Long-Term Debt	56,371	55,219	55,174	54,836	57,706	56,212	52,955	53,356	51,823	51,595	49,587	51,280	49,884	54,836	53,356	51,280	49,077
Retirement and Nonpension Postretirement Ben	9,536	9,882	9,735	9,018	8,763	8,603	8,603	8,603	8,603	8,603	8,603	8,603	9,432	9,018	8,603	8,603	8,603
Long Term Deferred Income	3,844	3,913	3,863	4,271	4,195	4,272	4,160	4,526	4,629	4,278	4,430	4,804	3,622	4,271	4,526	4,804	5,126
Operating lease liabilities	2,753	2,735	2,646	2,547	2,643	2,515	3,375	3,389	3,562	3,736	3,909	4,083	2,655	2,547	3,389	4,083	4,777
Others	11,105	11,522	11,762	9,810	9,767	10,044	10,259	10,259	10,259	10,259	10,259	10,259	11,048	9,810	10,259	10,259	10,259
Total Long Term Liabilities	83,609	83,271	83,180	80,482	83,074	81,646	79,352	80,132	78,877	78,470	76,788	79,029	76,641	80,482	80,132	79,029	77,842
Preferred Stock, par value	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Stockholder's Equity:																	
Common Stock, par value	61,913	62,392	62,819	63,318	63,936	64,600	65,496	66,498	67,224	67,990	69,032	70,267	61,380	63,318	66,498	70,267	74,337
Retained Earnings	150,703	151,367	151,581	155,648	155,327	155,937	156,659	159,159	159,401	160,305	161,282	163,905	151,163	155,648	159,159	163,905	169,098
Treasury Stock, at cost	(170,160)	(170,209)	(170,512)	(170,605)	(170,874)	(170,934)	(171,146)	(171,365)	(171,585)	(171,794)	(172,025)	(172,301)	(169,968)	(170,605)	(171,365)	(172,301)	(173,304)
Employee Benefits Trust	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Accumulated Gains (Losses) not affecting Retaine	(15,575)	(16,041)	(15,983)	(15,713)	(15,415)	(15,151)	(15,151)	(15,151)	(15,151)	(15,151)	(15,151)	(15,151)	(15,270)	(15,713)	(15,151)	(15,151)	(15,151)
Total Stockholder's Equity	26,881	27,509	27,905	32,648	32,974	34,452	35,859	39,142	39,889	41,350	43,139	46,719	27,305	32,648	39,142	46,719	54,979
Noncontrolling interests	72	79	85	93	81	89	89	89	89	89	89	89	86	93	89	89	89
Total Liabilities and Stockholder's Equity	145,667	148,585	146,312	151,880	156,231	152,099	150,685	158,307	156,213	156,942	154,153	164,622	137,175	151,880	158,307	164,622	174,018

Source: Company data, Morgan Stanley Research estimates

Exhibit 6: Cash Flow Statement

(\$ in millions)	2025A				2026E				2027E				2024A	2025A	2026E	2027E	2028E
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27					
Cash Flow Statement (Non Cumulative)																	
Operating activities:																	
Net income (loss)	1,055	2,194	1,744	5,600	1,216	2,165	2,315	4,100	1,847	2,513	2,593	4,244	6,023	10,593	9,796	11,197	11,741
Depreciation and Amortization:	1,177	1,265	1,283	1,296	1,274	1,349	1,487	1,471	1,418	1,418	1,420	1,423	4,667	5,021	5,581	5,679	5,298
Deferred Income Taxes	-	-	-	(957)	-	-	(821)	661	(14)	(50)	(825)	698	(2,330)	(957)	(160)	(191)	(453)
Gain on Disposition of Fixed and Other Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Stock based compensation charge	401	441	443	430	506	498	380	471	455	492	484	599	1,311	1,715	1,855	2,030	2,173
Others	(22)	(18)	(6)	7	(11)	(67)	-	-	-	-	-	-	2,461	(39)	(78)	-	-
Changes in Operating Assets and Liabilities:	1,759	(2,180)	(383)	(2,335)	2,184	(1,348)	2,310	(1,577)	2,299	(1,613)	128	(130)	1,313	(3,139)	1,569	684	2,173
Receivables Ex-Financing	-	-	-	(1,119)	-	-	(224)	(1,832)	1,711	(492)	1,092	(2,529)	57	(1,119)	(2,056)	(218)	(484)
Financing Receivables	2,087	(1,481)	299	(4,064)	2,565	(301)	1,911	(2,948)	1,681	(320)	1,780	(2,589)	(431)	(3,159)	1,227	552	236
Others and Pension Assets/Pension Liabilities	-	-	-	(50)	-	-	-	-	-	-	-	-	265	(50)	-	-	-
Inventory	-	-	-	70	-	-	243	262	(111)	(42)	(120)	265	(166)	70	506	(8)	(39)
Other Assets/ Liabilities	(328)	(699)	(682)	2,204	(381)	(1,047)	642	2,321	(134)	(879)	(2,458)	3,939	1,601	495	1,536	467	2,315
Accounts payable	-	-	-	624	-	-	(262)	619	(847)	120	(165)	783	(13)	624	357	(109)	146
Net cash provided by operating activities	4,370	1,702	3,081	4,041	5,169	2,597	5,671	5,126	6,005	2,761	3,800	6,833	13,445	13,194	18,563	19,398	20,932
Investing activities:																	
Payments for PPE, gross	(244)	(210)	(255)	(382)	(232)	(229)	(168)	(324)	(350)	(372)	(364)	(427)	(1,048)	(1,091)	(953)	(1,513)	(1,588)
Proceeds from disposition of PPE	74	37	7	3	8	23	-	-	-	-	-	-	557	121	31	-	-
Payments for PPE, net	(170)	(173)	(248)	(379)	(224)	(206)	(168)	(324)	(350)	(372)	(364)	(427)	(491)	(970)	(922)	(1,513)	(1,588)
Investment in software	(151)	(163)	(162)	(171)	(159)	(154)	(168)	(203)	(165)	(176)	(172)	(207)	(637)	(647)	(683)	(720)	(756)
(Purchases)/Sale of investments	(5,559)	2,781	30	2,358	359	(107)	-	-	-	-	-	-	(1,218)	(390)	252	-	-
Non-operating financing receivables- net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Acquisition of business	(7,098)	(747)	(58)	(391)	(10,465)	(15)	(100)	(100)	(1,271)	(1,271)	(1,271)	(1,271)	(3,289)	(8,294)	(10,680)	(5,082)	(5,082)
Divestiture of business & other	(1)	-	-	-	1	-	-	-	-	-	-	-	698	(1)	1	-	-
Net cash used in investing activities	(12,979)	1,698	(438)	1,417	(10,488)	(482)	(435)	(627)	(1,786)	(1,819)	(1,806)	(1,904)	(4,937)	(10,302)	(12,032)	(7,315)	(7,427)
Financing activities:																	
Issuance of long-term debt	8,378	7	6	-	7,437	-	-	401	-	-	-	1,693	5,705	8,391	7,838	1,693	-
Payment of long-term debt	(1,257)	(1,308)	(1,114)	(1,810)	(2,928)	(4,213)	(3,257)	-	(1,532)	(229)	(2,008)	-	(6,615)	(5,489)	(10,398)	(3,769)	(2,203)
Short-Term Borrowings, net	(29)	-	-	-	-	-	(170)	774	(553)	31	(171)	249	30	(29)	604	(444)	(23)
Common stock repurchases	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Common stock transactions - Other	(100)	10	(335)	(22)	(214)	76	305	311	50	66	327	359	(52)	(447)	479	802	895
Preferred stock transactions	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash dividends paid	(1,549)	(1,563)	(1,569)	(1,574)	(1,576)	(1,590)	(1,593)	(1,600)	(1,605)	(1,610)	(1,615)	(1,622)	(6,147)	(6,255)	(6,359)	(6,452)	(6,548)
Other	-	-	-	-	-	-	(111)	(111)	(111)	(111)	(111)	(111)	-	-	(222)	(444)	(444)
Net cash (used in) provided by financing activities	5,443	(2,854)	(3,012)	(3,406)	2,719	(5,727)	(4,826)	(225)	(3,751)	(1,853)	(3,578)	568	(7,079)	(3,829)	(8,058)	(8,614)	(8,323)
Effect of Exchange Rate Changes	167	320	(58)	(11)	(177)	(34)	-	-	-	-	-	-	(359)	418	(211)	-	-
Net Cash Flow from Discontinued Operations	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Net (decrease) increase in cash and cash equivalents	(2,999)	866	(427)	2,041	(2,777)	(3,646)	410	4,274	468	(911)	(1,584)	5,497	1,070	(519)	(1,739)	3,469	5,182
Cash and cash equivalents at beginning of period	14,160	11,161	12,027	11,600	13,641	10,864	7,218	7,628	11,902	12,370	11,459	9,874	13,090	14,160	13,641	11,902	15,371
Cash and cash equivalents at end of period	11,161	12,027	11,600	13,641	10,864	7,218	7,628	11,902	12,370	11,459	9,874	15,371	14,160	13,641	11,902	15,371	20,553

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Stock Price, Price Target and Rating History (See Rating Definitions)

IBM (IBM.N) - As of 07/23/26 GMT in USD
Industry : IT Hardware



Stock Rating History: 7/1/21 : E/I; 10/5/21 : E/C; 4/13/22 : O/C; 1/18/23 : E/I; 1/20/26 : E/C

Price Target History: 4/19/21 : 152; 7/20/21 : 164; 11/4/21 : 147; 4/13/22 : 150; 4/20/22 : 157; 7/19/22 : 155; 10/5/22 : 152; 1/18/23 : 148; 1/26/23 : 143; 4/20/23 : 135; 10/16/23 : 130; 12/12/23 : 149; 1/15/24 : 152; 1/25/24 : 186; 4/25/24 : 179; 7/25/24 : 182; 10/17/24 : 217; 10/24/24 : 208; 12/16/24 : 222; 1/28/25 : 217; 1/30/25 : 228; 4/8/25 : 237; 4/24/25 : 233; 7/16/25 : 253; 10/14/25 : 256; 10/23/25 : 252; 1/29/26 : 304; 2/25/26 : 247; 4/14/26 : 215; 4/22/26 : 225; 6/23/26 : 267; 7/14/26 : 293

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: IT Hardware

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/22/2026)
Erik W Woodring		
Apple, Inc. (AAPL.O)	O (05/26/2009)	\$325.89
CDW Corporation (CDW.O)	O (06/23/2026)	\$129.83
Cricut Inc (CRCT.O)	U (08/12/2021)	\$4.45
Dell Technologies Inc. (DELL.N)	E (06/01/2026)	\$441.80
Everpure, Inc. (P.N)	E (06/11/2024)	\$74.58
Garmin Ltd (GRMN.N)	E (02/18/2026)	\$240.51
GoPro Inc (GPRO.O)	U (12/12/2023)	\$0.74
Hewlett Packard Enterprise (HPE.N)	E (11/16/2025)	\$48.13
HP Inc. (HPQ.N)	U (11/16/2025)	\$25.10
IBM (IBM.N)	E (01/18/2023)	\$205.77
Ingram Micro (INGM.N)	E (06/11/2025)	\$29.90
Kornit Digital Ltd. (KRNT.O)	E (11/06/2025)	\$15.25
Logitech International SA (LOGI.O)	U (01/20/2026)	\$104.42
NetApp Inc (NTAP.O)	U (01/20/2026)	\$166.54
Resideo Technologies Inc (REZI.N)	O (08/11/2025)	\$34.09
Seagate Technology (STX.O)	O (03/26/2024)	\$908.10
SmartRent, Inc. (SMRT.N)	++	\$0.97
Sonos Inc. (SONO.O)	E (11/06/2025)	\$14.66
TD Synnex Corporation (SNX.N)	O (06/11/2025)	\$252.68
Teradata (TDC.N)	O (04/08/2025)	\$28.09
Western Digital (WDC.O)	O (04/16/2025)	\$556.67
Sanjit K Singh		
Nutanix Inc (NTNX.O)	E (01/12/2026)	\$53.36

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